

Cost accounting

Financial & Cost accounting

- **Definition of Cost Accounting**

- **Cost Accounting** is a branch of accounting that focuses on **capturing, analyzing, and managing the costs** associated with producing goods or services. It helps businesses:
 - **Determine product/service costs** accurately.
 - **Control expenses** and improve efficiency.
 - **Support decision-making** (pricing, budgeting, profitability analysis).
 - **Compare actual costs with budgets** (variance analysis).

- **Key Features:**

- **Internal Focus:** Used by management (unlike financial accounting, which targets external stakeholders).
- **Cost Classification:** Segregates costs into **direct/indirect, fixed/variable, manufacturing/non-manufacturing**.
- **Methods:** Includes **job costing, process costing, activity-based costing (ABC), standard costing**.
- **Tools:** Break-even analysis, marginal costing, cost-volume-profit (CVP) analysis.

- **Difference Between Cost Accounting, Financial Accounting, and Management Accounting**
 - **Financial Accounting:** Focuses on external reporting (investors, regulators).
 - **Cost Accounting:** Internal focus—cost tracking, control, and decision-making.
 - **Management Accounting:** Broader scope, includes cost accounting plus strategic analysis.
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Difference from Financial Accounting:

Aspect	Cost Accounting	Financial Accounting
Purpose	Internal decision-making	External reporting (investors, regulators)
Reporting Time	Flexible (as needed)	Fixed (quarterly/annually)
Standards	No strict rules	(company-specific) Follows GAAP/IFRS

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Cost Classifications

Behavior Fixed, variable, and mixed costs

direct vs. indirect costs

cost behavior analysis.

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- **Introduction to Cost Classifications**

- **Definition of Costs:** A cost is an economic sacrifice made to achieve a business goal, typically related to production or service provision.
- **Purpose of Cost Classification:** Classifying costs helps in budgeting, decision-making, and controlling operations. It also aids in determining profitability and pricing decisions.

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- **A) Fixed, Variable, and Mixed Costs**

- **Fixed Costs**

- **Definition:** Costs that remain constant, regardless of the level of production or business activity within a relevant range.
 - **Examples:**
 - Factory rent
 - Salaries of permanent staff
 - Insurance premiums

- **Characteristics:**

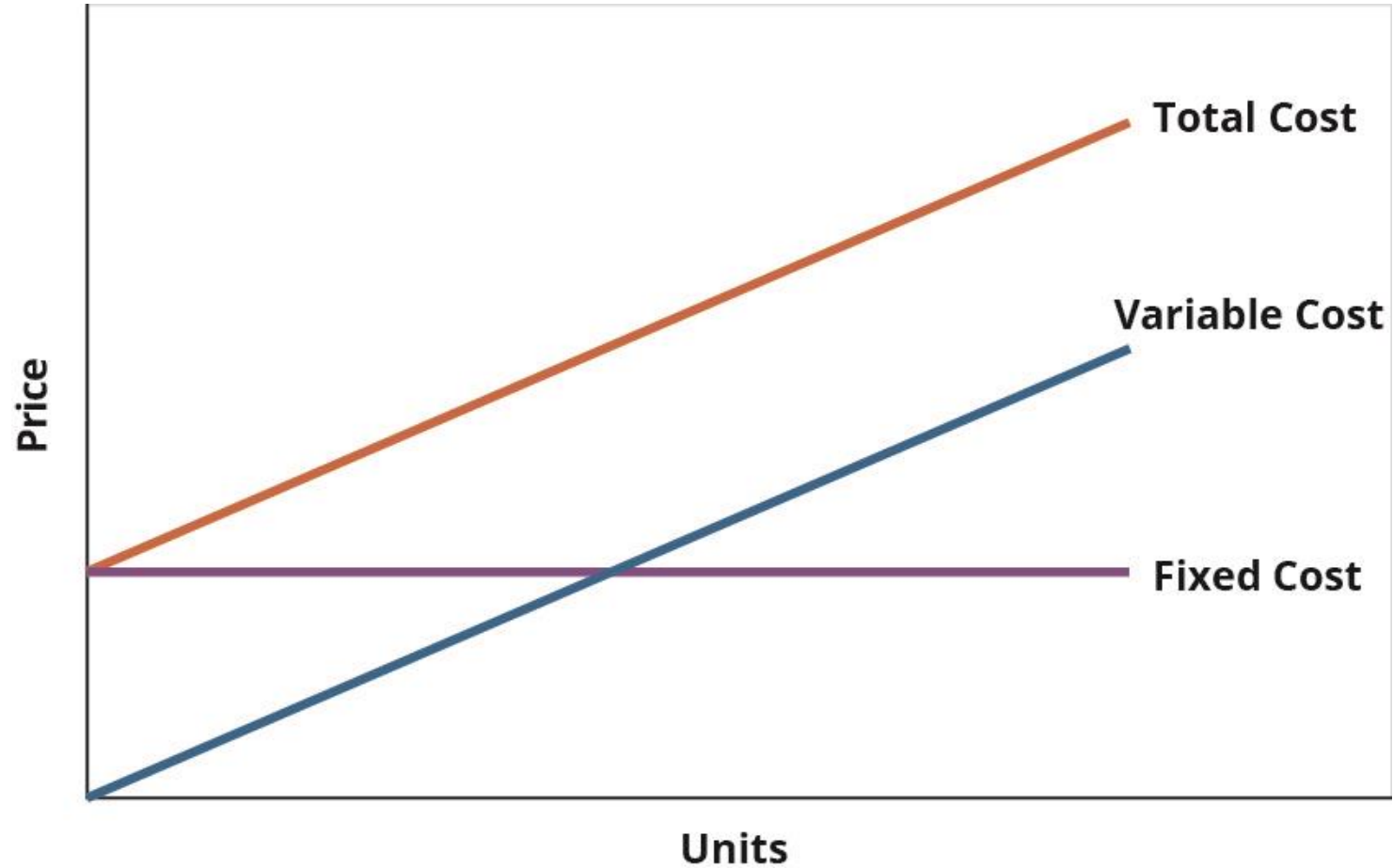
- Do not change with production volume in the short term.
 - Become smaller per unit as production increases (due to fixed cost spreading).

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- **B) Variable Costs**

- **Definition:** Costs that vary directly with the level of production or business activity.
- **Examples:**
 - Direct materials (e.g., fabric in garment manufacturing)
 - Direct labor (e.g., wages for hourly workers)
 - Utility costs tied to production volume
- **Characteristics:**
 - Change proportionally with production levels.
 - Total variable cost increases with output, but per-unit variable cost remains constant.
- **Graph:** Show a linear relationship between total variable costs and production levels.

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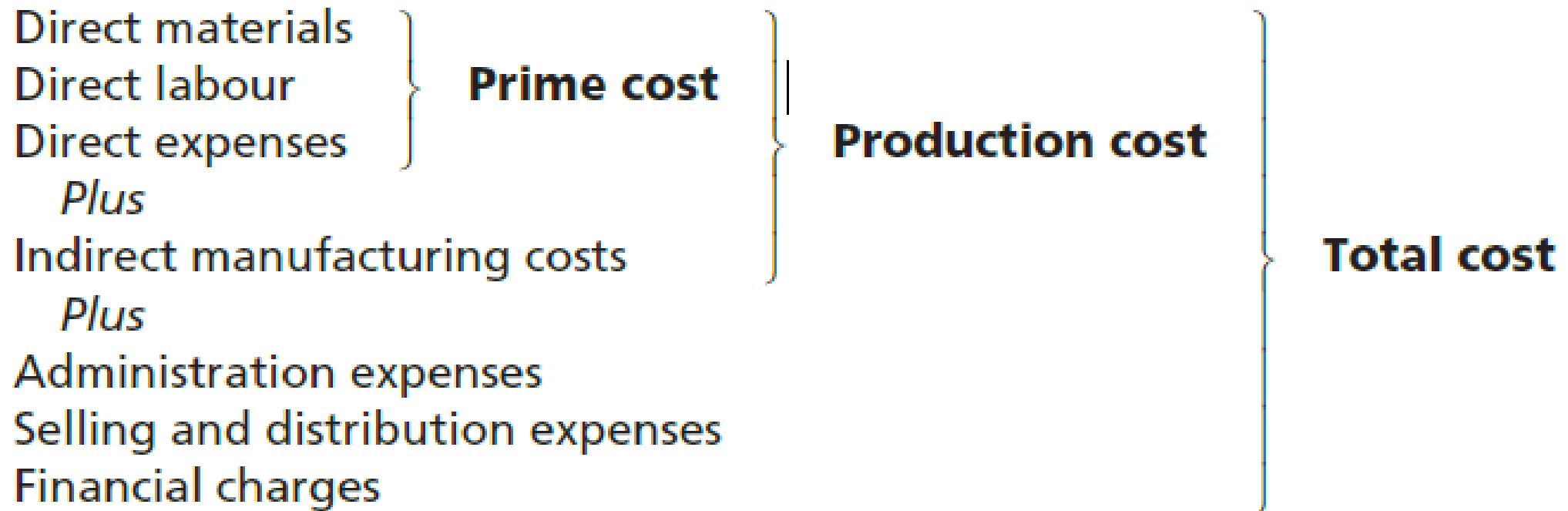
- **C) Mixed Costs**

- **Definition:** Costs that have both fixed and variable components.
- **Examples:**
 - Electricity bills (a fixed monthly charge + additional costs based on usage)
 - Salesperson's salary (base salary + commission)
- **Characteristics:**
 - Part of the cost remains fixed, while the other part changes with activity level.

- **Conversion Costs**

- The total conversion cost formula is: $\text{Conversion Costs} = \text{Direct Labor Costs} + \text{Manufacturing Overheads}$

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- **Inventories**
 - **Raw Material Beginning inventories**
 - **Raw Material Ending inventories**
 - **Work in Process Beginning inventories**
 - **Work in Process Ending inventories**
 - **Finished goods Beginning inventories**
 - **Finished goods Ending inventories**

AKU & Co			
Manufacturing Statement			
31-Dec-23			
Raw material			
Beg. Inventory Material			10,000
Add: Raw material Purchase		500,000	
Add: Transportation In		15,000	
Total Purchase		515,000	
less: Purchase return		-2,000	
less: Purchase Discount		-3,000	
Net purchase			510,000
Material available for used			520,000
Less:Closing inventory			-35,000
Raw material consumed			485,000
Direct Labour			1,000,000
Direct Exp			25,000
Prime Cost			1,510,000
Factory overhead			
Indirect material		50,000	
Indirect Labour		500,000	
Factory Rent		700,000	
Factory utility		150,000	
Plant & Machinery Depreciation		135,000	
Factory Insurance		50,000	
Total Factory Over head			1,585,000
Total Manufacturing cost			3,095,000
Add: Work in process(Begg)			245,000
Less: Work in process(Ending)			-450,000
Total Manufacturing cost			2,890,000

AKU & Co			
Income Statement			
31-Dec-23			
Revenue			
Sales			5,000,000
less: Sales Return			-5,000
Net sales			4,995,000
Cost of goods sold			
Finish goods Beginning. Inv		500,000	
Total Manufacturing Cost		2,890,000	
Cost of goods available for sale		3,390,000	
less: Finish goods Ending. Inv		-390,000	
Cost of goods sold			3,000,000
Gross Profit			1,995,000
Less: Opreating Exp			
Selling & distribution Exp			895,000
Admin Exp			100,000
EBIT			1,000,000
less: Interest			150,000
EBT			850,000
less: Tax 40%			340000
Net profit after tax			510,000

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Thank you